

COINPICKS · RESEARCH & EDUCATION

The Fed & Macro Regime Pillar Report

Liquidity as the Master Driver — Researched, Scored, and Re-Rated

*Originally written June 19, 2026; scores committed by me on June 19, 2026. Fully re-researched & **updated on July 8, 2026** — the July draft scores are re-rated from the new evidence and are **awaiting my stamp**.*

COINPICKS PILLAR REPORT · WEIGHT: 25% OF MY THESIS

Written June 19, 2026 · Updated & Re-verified July 8, 2026 · Not Financial Advice

The Scores — June Committed vs. July 8 Draft

June column committed by me on June 19, 2026. July 8 column is a re-rated DRAFT from the full re-research — it is not stamped yet.

WINDOW	MY JUNE P	DRAFT P (JUL 8)	QUALITY	IMPACT	SIGNAL	MY CALL
1 month	38	35	0.85	9	-2.3	Bear — headwind, patience
3 months	40	36	0.85	9	-2.1	Bear — hike risk is live
6 months	46	42	0.80	9	-1.2	Mild Bear
1 year	54	52	0.75	9	+0.3	Neutral — pivot pushed out
3 years	61	61	0.65	9	+1.3	Mild Bull — structural accumulate

Draft P: 35 / 36 / 42 / 52 / 61 · **My Weight:** 25% · **My Impact:** 9 · **Formula:** Signal = $((P - 50) \div 50) \times \text{Quality} \times \text{Impact}$. Draft scores re-rated July 8, 2026 from the June baseline (38 / 40 / 46 / 54 / 61) — awaiting my stamp.

THE THREE INPUTS, IN PLAIN ENGLISH

P — the odds the macro regime is *good for crypto* by then — not "the Fed cuts by then." Near-term it's low: a hawkish hold is priced for July 29, a September hike is a coin flip, and the market now puts >75% on at least one 2026 hike. Long-term it's above water: the labor market is cracking, and cracks eventually force easing.

Quality — how trustworthy the evidence is. Every source is on the last page — click and judge for yourself.

Impact — 9 out of 10. Liquidity is the tide; it moves the whole market at once.

The Claim

The thesis, and where I differ from the consensus — updated July 8, 2026

The crowd: "Inflation and the Fed are back in play" (Yardeni, July 8). Futures price >75% odds of at least one hike before year-end (up from 58% at the start of June), a ~58% September hike after the Iran oil spike, and a ~73% hold for July 29. Cuts are off the board. The loud story: hawkish Warsh + Hormuz oil = crypto stays dead indefinitely.

Me: near-term the crowd is right — my draft P is 35–36 out to 3 months, if anything below consensus gloom. Liquidity is the tide and it's still out. My edge is the *sequencing*: the July 2 jobs report shows the labor market visibly cracking (+57K with -74K of revisions and participation at a 2021 low), Warsh has publicly staked his chairmanship on price stability, so the Fed will **hike into that weakness before it eases** — the worst near-term order of events for crypto, but a policy-error hike raises the amplitude of the easing cycle that follows.

My edge: the crowd is pricing the hike; almost nobody is pricing what comes after it. QT is dead, bank reserves are down ~\$418B in a year, the RRP is empty — the plumbing is quietly tightening toward the point where the Fed has to add liquidity again. That's why the 3-year P holds at 61 while everything nearer gets marked down.

The Facts

As of July 8, 2026 — hard numbers only, sources on the last page. ★ = new since the June 19 check

- ★ **The labor market cracked.** June payrolls **+57K** vs ~115K consensus (released July 2); April revised -31K and May -43K — **-74K combined**. Leisure/hospitality -61K. Unemployment "fell" to **4.2%** only because participation dropped 0.3pp to **61.5%** — the lowest since March 2021. Wages +0.3% m/m.
- ★ **Core inflation is going the wrong way.** May core PCE **3.4% y/y** (+0.3% m/m, released June 25–26) — the **highest since October 2023**, up from 3.3% at the June check. Headline PCE 4.1%. June CPI lands **July 14**; the Cleveland Fed nowcast says **~3.96%** headline — cooling from 4.2%, still hot.
- ★ **The market now prices the hike, not the cut.** As of July 6–7, futures put **>75%** on at least one hike before year-end 2026 (vs ~60–66% on June 19). After the oil spike, September hike odds hit **~58%**. July 29 is a ~73% hold. The July 2 jobs miss briefly swung it dovish (July hike odds 29%→22%) — oil swung it right back.
- ★ **Iran re-armed the inflation scare.** July 7: Iran hit commercial vessels in Hormuz and the US revoked the Iran oil-sale waiver (wind-down by **July 17**); US retaliatory strikes followed in the early hours of July 8. Brent settled **\$74.16 (+3%)** July 7 and traded **~\$76–78** July 8. The spike came too late for the June CPI data — it lands in July's.
- **Warsh is uniformly hawkish.** July 1 at Sintra (first international appearance): inflation "too elevated," no hint on July, and he joined Lagarde/Bailey/Macklem against forward guidance. And the line he's staked the chairmanship on — "*This Committee will deliver price stability*" — comes from the June 17 FOMC statement and press conference (recirculated in July 6 coverage). Rate policy is his primary tool; balance-sheet reduction ambitions are intact but gradual — no asset sales imminent.
- **Rates and the dollar confirm the squeeze.** 10Y **4.53%** July 8 (one-month high, vs 4.46% June 19); 2Y ~4.21%. DXY **~101.0–101.1** — holding near, ~0.7pt below, its late-June 13-month peak of 101.8 (CNBC July 8 called it a one-week high). The \$58B 3Y auction (July 7) was strong — reported as stopping through with the highest indirect take since April (per TFCG; auction internals not independently confirmed) — dollar-asset demand is intact.
- **Policy rate and balance sheet: still 3.50–3.75%, still ~\$6.74T flat.** QT remains done (H.4.1, week of June 24–25: ~\$6.736T). But the plumbing is quietly tightening: TGA **~\$919B** (elevated = drain), RRP essentially empty (**\$2B**), bank reserves **\$2.951T** — down from \$3.369T a year ago. **Correction from the forensic audit:** the eSLR recalibration was *finalized Nov 25, 2025* (Federal Register Dec 1, 2025) and has been **in effect since April 1, 2026** — it is a liquidity positive already delivered and in the price, not a pending catalyst.
- ★ **ETF flows just inflected.** June was the **worst month on record for spot BTC ETFs: -\$4.06B**, and June 29–July 2 was the 8th straight negative week (-\$526.6M). Then: **+\$223.5M July 2** (ending a second 10-day outflow streak), **+\$265.7M July 6** (largest daily inflow in over a month; IBIT +\$209.4M), and a third straight green day July 7 (+\$21–47M depending on tracker). AUM ~\$77B, up from a June 30 trough that providers put at ~\$71–73B (methodologies differ).
- **Prices under the headwind:** BTC opened **\$63,318** July 8 and slid toward ~\$62K on the strikes (Bitstamp daily close \$62,274; BTC had already printed a ~\$61.7K 21-month low on July 6, pre-escalation); ETH ~\$1,742–1,769. Roughly where it sat on June 19 (~\$62.5K) — stabilization, not recovery.

The Prize

Illustrative only — not price targets, not advice

The canonical anchor: **2020-21 ZIRP + QE** ran BTC ~\$3,800 → \$69,044 (~15–18×) — a unique COVID/zero-rate/open-ended-QE setup, not a repeatable base case. The **2024-25 cuts** ran ~\$60K → a ~\$126K ATH (Oct 6, 2025) — but that top came on a non-Fed tariff shock and has since halved to ~\$62K. From here, a retest of the \$126K high ≈ **+100%**.

Discount it hard, twice. First: easing is not an automatic catalyst — the last cycle topped on a non-Fed shock, and a Dec 10, 2025 cut drew a sell-the-fact dip. Second: the pivot that unlocks any of this just got **pushed further out** — the Fed is priced to hike before it eases. The Prize doesn't feed the math — it tells you what the 3-year lean is worth acting on when the tide finally turns.

The Other Side

The strongest honest case my bearish lean is wrong

- **The labor market may force the Fed's hand faster than anyone prices.** +57K with –74K of revisions and participation at a 2021 low is not "solid but cooling" anymore — one more print like that and the hike is off the table. The market went dovish within hours of the July 2 report; only oil dragged it back.
- **The inflation data could break my way this month.** June CPI nowcasts ~3.96% — cooling — and the oil spike missed the June window. A soft July 14 CPI plus a soft July 25 core PCE flips the board before the July 28–29 FOMC.
- **Real money is stepping back in at \$62K.** Three green ETF days in four since July 2, including the biggest daily inflow in over a month. Capitulation-scale outflow months often mark exhaustion rather than the middle of the move.
- **Crypto keeps decoupling from the Fed — symmetrically.** The Oct 2025 top and the May 2026 selloff weren't Fed-driven; crypto can rally without a pivot just as it fell without one. (Though note: BTC and ETH fell *on the July 8 strikes* — this week it's trading macro.)
- **Latent liquidity positives are queued:** Waller publicly fighting scarce-reserve regimes, a \$919B TGA that eventually gets spent down, and reserves drifting toward levels that historically force balance-sheet support. (The eSLR recalibration — once on this list — was finalized Nov 2025 and took effect April 1, 2026; that card has been played.) The plumbing that's tightening today can loosen without a single rate cut.

The Triggers

Dated events — some prove the claim right, some prove it wrong

DATE	EVENT	MEANS
~July 8	June FOMC minutes released	How live the hike is inside the room — hawkish minutes firm up September
July 14	June CPI (nowcast ~3.96%)	Soft print = look-through case alive, re-rate 1-month up · hot print = hike locks in
July 17	Iran oil-waiver wind-down deadline	Supply actually tightens — the energy spike gets a second leg into July data
July 25	June PCE (before the FOMC)	Core 3.4% still rising vs rolling over — the Fed's actual gauge decides the tone
July 28–29	FOMC (~73% hold priced)	Surprise hike = re-rate 3/6-month down hard · any dovish tilt = re-rate up
September FOMC	Hike ~58% priced (post-oil)	A hike into a cracking labor market = policy error confirmed — 3-year conviction rises
Any payroll Friday	Second straight sub-100K print	The easing case comes forward — re-rate the 1-year up

The flip line: soft July 14 CPI + no September hike + sustained ETF inflows = the headwind is fading — re-rate the 1/3-month up toward neutral. The other way: a September hike delivered into this labor market confirms the policy-error path — near-term Bear stands, and the 3-year structural-accumulate gets *more* conviction, not less.

My Decision

🕒 **UPDATED DRAFT — JULY 8, 2026 · AWAITING MY STAMP**

Draft P: 35 / 36 / 42 / 52 / 61 · My Weight: 25% · My Impact: 9

These are re-rated draft scores from the July 8 re-research — marked down near-term on the >75% hike odds, the 3.4% core PCE, and the Iran oil re-spike; the 3-year holds at 61 on the cracking labor market and the tightening plumbing that eventually forces the Fed's hand. The June committed scores (**38 / 40 / 46 / 54 / 61**, committed June 19, 2026) remain the last human-stamped values.

Override any P and re-stamp — the master blend recomputes.

What Changed Since Last Check

Re-researched July 8, 2026 (previous check June 19, 2026)

- ★ **June's "energy fades vs. sticks" swing factor fired: STICKS.** Iran hit three vessels in Hormuz July 7, the US struck back and revoked the oil-sale waiver (wind-down July 17); Brent is back to ~\$76–78. The look-through's shelf life just got extended — exactly the branch the June report flagged as the pillar's gate.

- ★ **The June hike-lean trigger fired and deepened.** Hike-by-December went from the ~60–66% I logged on June 19 to **>75%** by July 6–7, with September alone at ~58%. Cuts are effectively priced out — "higher-for-longer" graduated to "hike-first."
- ★ **New fact — the labor market cracked.** Payrolls +172K (May print) → **+57K** (June, July 2 release) with –74K revisions and participation at 61.5%, the lowest since March 2021. This is the dovish seed the June report didn't have — but it arrives before the hike, not instead of it.
- **Core PCE went 3.3% → 3.4%** (31-month high) — the core story got worse, not better. Headline CPI nowcast for June is ~3.96% (due July 14): marginally better, still hot.
- **ETF flows inflected.** Record –\$4.06B June, then +\$223.5M (Jul 2), +\$265.7M (Jul 6), +\$46.6M (Jul 7). Stabilization at ~\$62K, not a regime change. Rates/dollar worse: 10Y 4.46→4.53%, DXY 100.7→~101.1. Balance sheet flat, but TGA \$919B / RRP empty / reserves –\$418B y/y — plumbing quietly tightening.
- **Score re-rates (June committed → July 8 draft):** 1-month 38→35 · 3-month 40→36 · 6-month 46→42 · 1-year 54→52 · 3-year 61→61 (hold). Draft only — awaiting my stamp.

Sources

Retrieved & graded July 8, 2026 — click and judge the quality yourself. Official data first, then reporting, then prices & flows, then rate odds (market-implied sentiment, not fact).

- **Official data:** BLS — Employment Situation, June 2026 (released July 2) · BEA — Personal Income & Outlays, May 2026 (core PCE 3.4%) · BLS — CPI release schedule (June CPI: July 14, 8:30am) · Cleveland Fed — inflation nowcast (June headline ~3.96%) · Fed — H.4.1 balance sheet (~\$6.736T, QT done).
- **The reporting:** CNBC — June jobs miss (+57K, –74K revisions) · Indeed Hiring Lab — participation 61.5% · CNBC — May PCE (core 3.4%, highest since Oct 2023) · CNBC — Warsh at Sintra (July 1) · CNN — Warsh's first global speech · Yahoo Finance — "This Committee will deliver price stability"; >75% hike odds · Bloomberg — Yardeni: "inflation, Fed back in play" (July 8) · CNBC — Hormuz strikes, Brent +3% (July 7) · TFTC — 3Y auction stops through; 10Y 4.52% · 24/7 Wall St — Warsh balance-sheet gradualism · WisdomTree — Warsh's balance-sheet reality check · Federal Register — eSLR final rule (Dec 1, 2025; effective Apr 1, 2026).
- **The prices & flows:** Yahoo Finance — BTC ~\$62–63K, ETH ~\$1.74–1.77K (July 8) · Trading Economics — 2Y yield · Investing.com — DXY ~101 (13-month+ highs) · KuCoin — June ETF outflows –\$4.06B, worst month on record · 99Bitcoins — June outflow detail, AUM ~\$77B (single source; trackers differ on exact AUM) · CoinDesk — 10-day outflow streak ends (+\$223.5M, July 2) · CoinDesk — BTC/ETH ETF inflows Monday July 6 · Crypto Briefing — IBIT +\$209.4M (July 6) · StreetStats — TGA \$919B / RRP \$2B / reserves \$2.951T (dashboard, secondary read of H.4.1).
- **The odds (market-implied, not fact):** CME FedWatch — ~73.4% July hold; hike odds by meeting · year-end >75% hike odds and post-oil September ~58% as quoted in the Yahoo Finance and Bloomberg reporting above.